feeds that into his mobile app, writes the payment amount, puts in his password, and presses 'send' and the payment is made, with both getting messages to that effect. Neither needs to visit the bank to take out or deposit money, no point-of-sale machine is needed. With the price of smartphones falling sharply, we are on the verge of solving the last-mile problem.

With the power of information technology, perhaps the analysis of the savings and payment patterns of a client can indicate which one of them is ready to use credit well. Small businesses, which use the services of an online internet platform to sell, can establish a verifiable record of revenues that can form the basis for loans. Indeed, we are encouraged by the emergence of full-service entities that help the small business with marketing and logistics, while tying up with a finance company to provide the business with credit. This will help the carpet seller from Srinagar advertise his wares to the world, even while expanding his business. We also propose to encourage peer-to-peer lending platforms with light-touch regulation, anticipating that they may have innovative approaches to gathering the information necessary to lend.

SOME ISSUES

Having highlighted the various approaches to expand inclusion, let me now focus on some important issues that arise in managing the process. These are 1) Know your customer requirements 2) Encouraging competition to prevent exploitation 3) Ensuring some flexibility and forgiveness in financial arrangements 4) The need for skilling and support 5) Encouraging financial literacy and ensuring consumer protection.

KNOW YOUR CUSTOMER